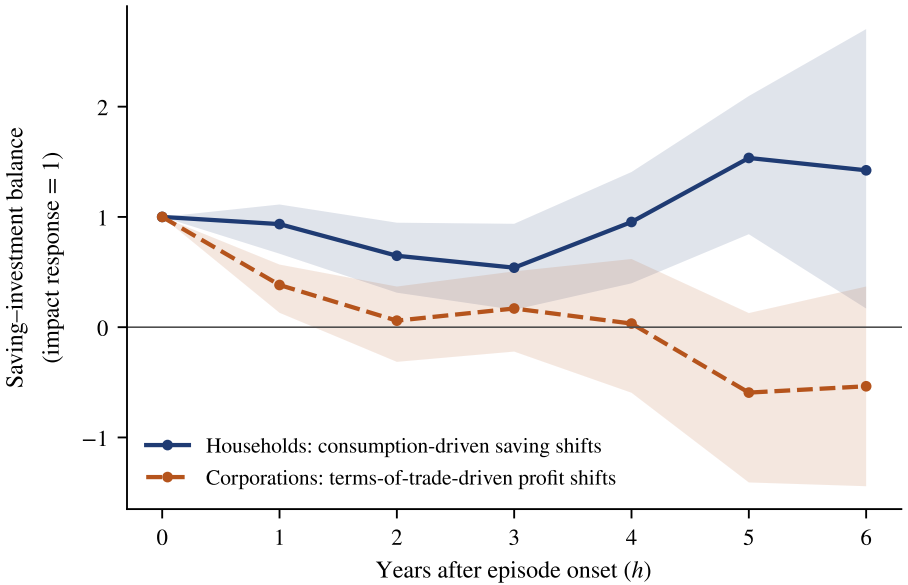
Figure 1 (clean controls). Persistence of sectoral saving–investment balances



Notes: Shaded areas are 68 percent confidence bands (country-cluster bootstrap, 499 replications). Responses relative to year −1, normalized by the impact response. Clean controls: for each horizon h, control observations are restricted to country-years with no large shock of the same type (top/bottom decile of the episode-defining variable) in the same country during $[t-3, t+h]$. Episodes: country-specific top/bottom decile changes in the household saving rate with the consumption-share change exceeding the disposable-income-share change (households), or in the terms of trade with operating surplus moving in the same direction (corporations); increases and decreases pooled with signs aligned. Local projections with country and year fixed effects, estimated by two-step weighted least squares; 42 economies, 1970–2025. All regressions control for two lags of the change in the own-sector saving–investment balance.